

The Significance of Secular Markets

PEOPLE WHO WORK in specialized fields seem to have their own language. Jargon has a storied history of creating the appearance of complexity that, of course, requires expensive expertise. Finance is filled with colorful jargon, too: “Spoos,” “Vol,” “Monte Carlo simulation,” “Gaussian Copula,” etc.

I try to eschew the usual Wall Street jargon, but occasionally lapse. I use the phrase “secular cycles,” and so before I am called out on it, let’s discuss what a secular—vs. cyclical—market is, its significance, and what it might mean to your portfolios.

Based upon my study of market and economic history, I have come to understand that societies, beliefs, even fashions move in long arcs of time. We call these eras by different names: cycles, periods, phases, stages. They vary in length and intensity, but they are typically characterized by an idiosyncratic set of qualities that set them apart from each other as unique.

Regardless of the name we affix to them, we intuitively understand what defines a specific period of time. In any era, there will be a series of dominant economic and societal themes. Ultimately, these themes find their way to equities and bonds.

Let me give you a definition, and then a few specific examples:

Secular cycles are the long periods—as long as decades—that define each market era. These cycles alternate between long-term bull and bear markets. Societal elements affect these markets. These cycles are driven by specific and dominant economic ideas.

Each secular market cycle reflects the key issues of an era. These can include geo politics, economics, resource consumption, technology, or any one of a number of other elements. Over time, each of these factors comes to define the dominant economic theme of a generation. Consider the post-